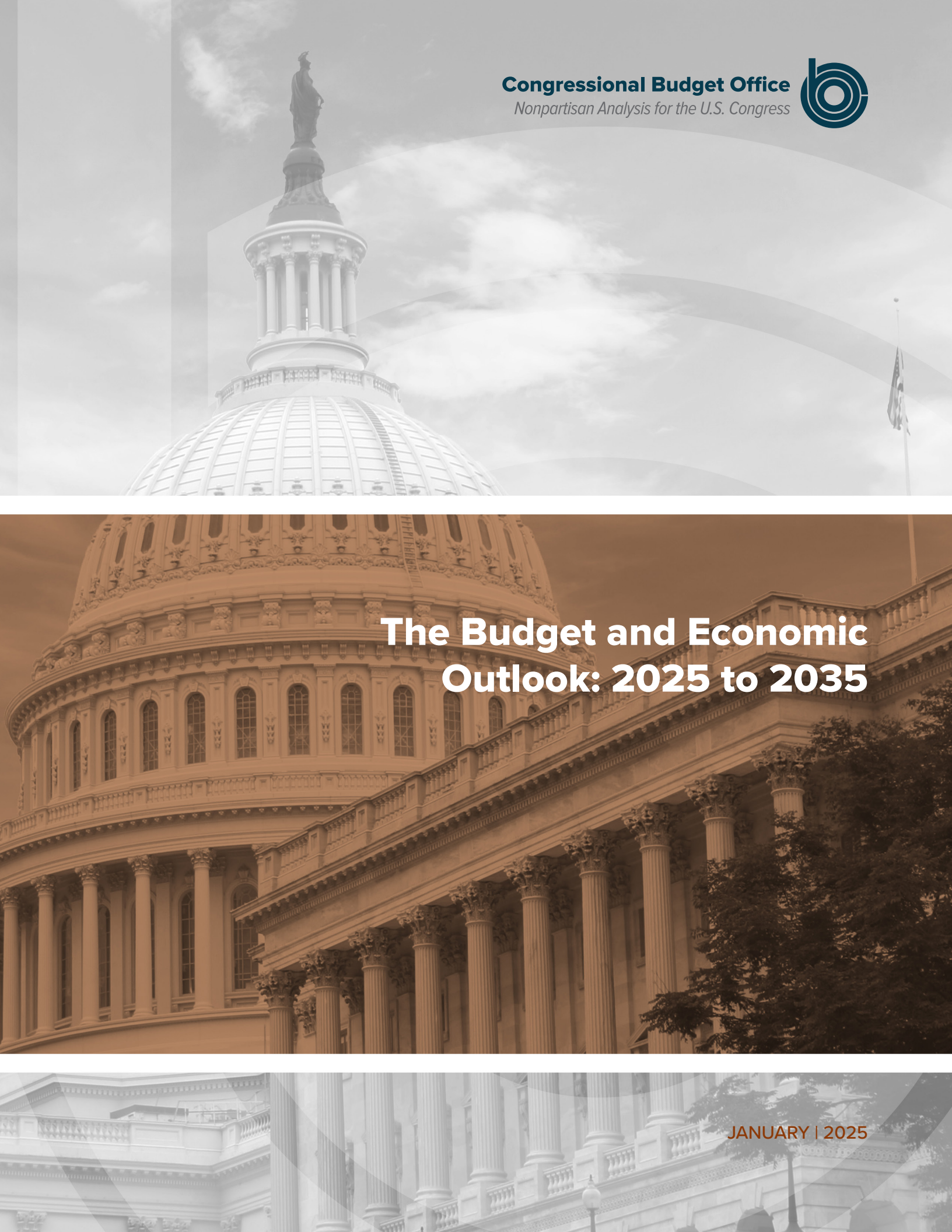




Congressional Budget Office
Nonpartisan Analysis for the U.S. Congress



The Budget and Economic Outlook: 2025 to 2035



JANUARY | 2025

Contents

The Budget and Economic Outlook: 2025 to 2035	1
The Budget Outlook	1
The Economic Outlook	5
Appendix A: Changes in CBO’s Baseline Projections Since June 2024	9
Appendix B: The Budget Outlook in Tables	19
Appendix C: The Economic Outlook in Tables	27
Appendix D: Tax Expenditures	33
Appendix E: Table and Figure Notes	35
About This Document	37



Notes About This Report

The budget projections in this report include the effects of legislation enacted through **November 15, 2024** 2025, and are based on the Congressional Budget Office's economic projections. Those economic projections reflect economic developments and information as of December 4, 2024, and are available on CBO's website (www.cbo.gov/data/budget-economic-data#4).

Unless this report indicates otherwise, all years referred to in describing the budget outlook are federal fiscal years, which run from October 1 to September 30 and are designated by the calendar year in which they end. Years referred to in describing the economic outlook are calendar years.

When October 1 falls on a weekend, certain monthly payments that the government would ordinarily have made on that day are instead made at the end of September and thus are shifted into the previous fiscal year. Consequently, the number of payments in the fiscal year that begins on a weekend decreases, and the number in the previous year increases. Those shifts in the timing of payments affect outlays and deficits (or surpluses) and thus are reflected in the agency's baseline budget projections (see Table A-1 and Table B-1). But timing shifts can complicate comparisons of annual outlays and deficits and distort certain budgetary trends, so CBO also presents adjusted baseline projections that treat the payments as if they were not subject to the shifts. (For examples, see Table B-2 and Table B-4.)

Unless this report indicates otherwise, historical economic data shown in the text, tables, and figures reflect data available from the Bureau of Economic Analysis and other sources in mid-January 2025. Those data contain updated values for the last two months of 2024, which were not available when CBO developed its current projections.

Numbers in the text, tables, and figures may not add up to totals because of rounding.

Some of the figures in this report use shaded vertical bars to indicate periods of recession. (A recession begins just after a peak in economic activity and runs through the subsequent trough.)

Supplemental data for this analysis are available on CBO's website (www.cbo.gov/publication/60870#data), as are a glossary of budgetary and economic terms (www.cbo.gov/publication/42904), a guide that explains the differences between common budgetary terms (www.cbo.gov/publication/57420), a description of how CBO develops its baseline budget projections (www.cbo.gov/publication/58916), a description of how CBO prepares its economic forecast (www.cbo.gov/publication/53537), and previous editions of this report (<https://tinyurl.com/4dt4hshv>).

The Budget and Economic Outlook: 2025 to 2035

The Congressional Budget Office regularly publishes reports presenting its baseline projections of what the federal budget and the economy would look like in the current year and over the next 10 years if laws governing taxes and spending generally remained unchanged. This report is the latest in that series, presented in an abbreviated version to facilitate work on other Congressional priorities. The budget projections are based on CBO's economic forecast, which reflects developments in the economy as of December 4, 2024. They also incorporate legislation enacted through January 6, 2025.

The Budget Outlook

Deficits

In CBO's projections, the federal budget deficit in fiscal year 2025 is \$1.9 trillion. Adjusted to exclude the effects of shifts in the timing of certain payments, the deficit grows to **\$3.4 trillion by 2035**. It amounts to 6.2 percent of gross domestic product (GDP) in 2025 and drops to 5.2 percent by 2027 as revenues increase faster than outlays. In later years, outlays increase faster than revenues, on average. In 2035, the adjusted deficit equals 6.1 percent of GDP—significantly more than the 3.8 percent that deficits have averaged over the past 50 years.

Debt

From 2025 to 2035, debt swells as increases in mandatory spending and interest costs outpace growth in revenues. Federal debt held by the public rises from 100 percent of GDP this year to 118 percent in 2035, surpassing its previous high of 106 percent of GDP in 1946.

Outlays and Revenues

Federal outlays in 2025 total \$7.0 trillion, or 23.3 percent of GDP. They remain close to that level through 2028 and then rise, reaching 24.4 percent of GDP in 2035 (if adjusted to exclude the effects of shifts in the timing of certain payments). The main reasons for that increase are growth in spending for Social Security and Medicare and rising net interest costs. Revenues total \$5.2 trillion, or 17.1 percent of GDP, in 2025. They rise to 18.2 percent of GDP by 2027, in part because of the scheduled expiration of provisions of the 2017 tax act. Revenues decline as a share of GDP over the next two years, falling to 17.9 percent in 2029, but then generally increase, reaching 18.3 percent in 2035.

Changes in CBO's Budget Projections

The deficit for 2025 is \$0.1 trillion (or 4 percent) less in CBO's current projections than it was in the agency's June 2024 projections, and the cumulative deficit over the 2025–2034 period is smaller by \$1.0 trillion (or 4 percent). The largest contributor to the cumulative decrease was growth in projected collections of individual income taxes, driven by greater projections of taxable income in CBO's economic forecast.

Projections for 2025

Budget deficit:
\$1.9 trillion

Debt held by the public:
100% of GDP

Outlays:
\$7.0 trillion

Revenues:
\$5.2 trillion

When October 1 (the first day of the fiscal year) falls on a weekend, certain payments that ordinarily would have been made on that day are instead made at the end of September and thus are shifted into the previous fiscal year. Because those shifts can distort budgetary trends, CBO often presents adjusted projections of deficits and outlays that treat the payments as if they were not subject to the shifts.

The Budget Outlook, by Fiscal Year

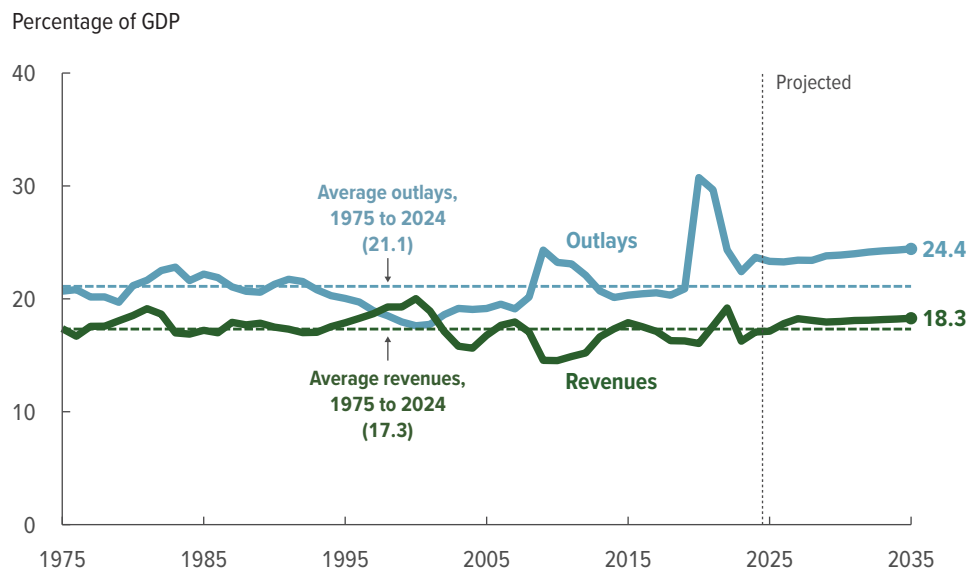
	Average, 1975–2024	Percentage of GDP				Billions of dollars			
		Actual, 2024	2025	2026	2035	Actual, 2024	2025	2026	2035
Revenues	17.3	17.1	17.1	17.8	18.3	4,918	5,163	5,580	8,031
Individual income taxes	8.0	8.4	8.7	9.5	10.0	2,426	2,621	2,968	4,413
Payroll taxes	6.0	5.9	5.8	5.9	5.9	1,709	1,759	1,840	2,605
Corporate income taxes	1.8	1.8	1.7	1.6	1.2	530	524	495	517
Other	1.5	0.9	0.9	0.9	1.1	253	259	277	496
Outlays	21.1	23.7	23.3	23.3	24.4	6,826	7,428	7,294	10,730
Mandatory	11.1	14.3	14.0	14.0	15.1	4,130	4,228	4,386	6,626
Social Security	4.4	5.0	5.2	5.3	6.0	1,454	1,572	1,664	2,624
Major health care programs	3.5	5.8	5.8	5.8	6.7	1,669	1,754	1,832	2,949
Medicare	2.1	3.2	3.1	3.2	4.0	910	942	1,000	1,753
Medicaid, CHIP, and marketplace subsidies	1.3	2.6	2.7	2.7	2.7	759	812	831	1,196
Other mandatory	3.2	3.5	3.0	2.8	2.4	1,006	902	891	1,053
Discretionary	7.9	6.3	6.1	6.1	5.3	1,815	1,848	1,897	2,322
Defense	4.2	3.0	2.9	2.8	2.4	855	859	866	1,053
Nondefense	3.7	3.3	3.3	3.3	2.9	960	989	1,031	1,268
Net interest	2.1	3.1	3.2	3.2	4.1	881	952	1,010	1,783
Total deficit (-)	-3.8	-6.6	-6.2	-5.5	-6.1	-1,907	-1,865	-1,713	-2,699
Primary deficit (-)	-1.7	-3.6	-3.0	-2.2	-2.1	-1,026	-913	-703	-916
Debt held by the public at the end of each period	49.7	97.8	99.9	101.7	118.5	28,199	30,103	31,883	52,056

See Appendix B.

The Budget Outlook in Six Figures

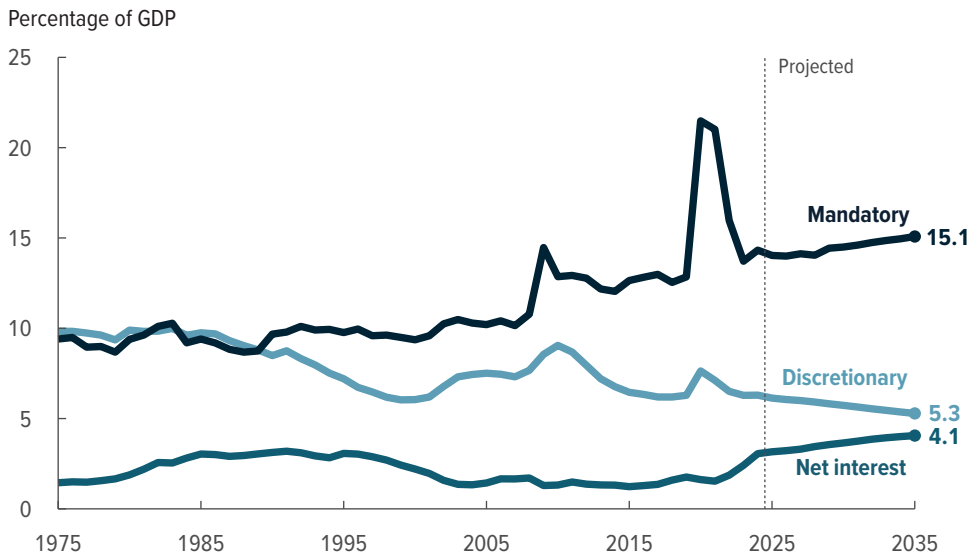
Total Outlays and Revenues

Measured as a percentage of GDP, federal outlays in CBO's projections exceed their 50-year average every year from 2025 to 2035. Revenues remain below their 50-year average in 2025 but rise above it thereafter.



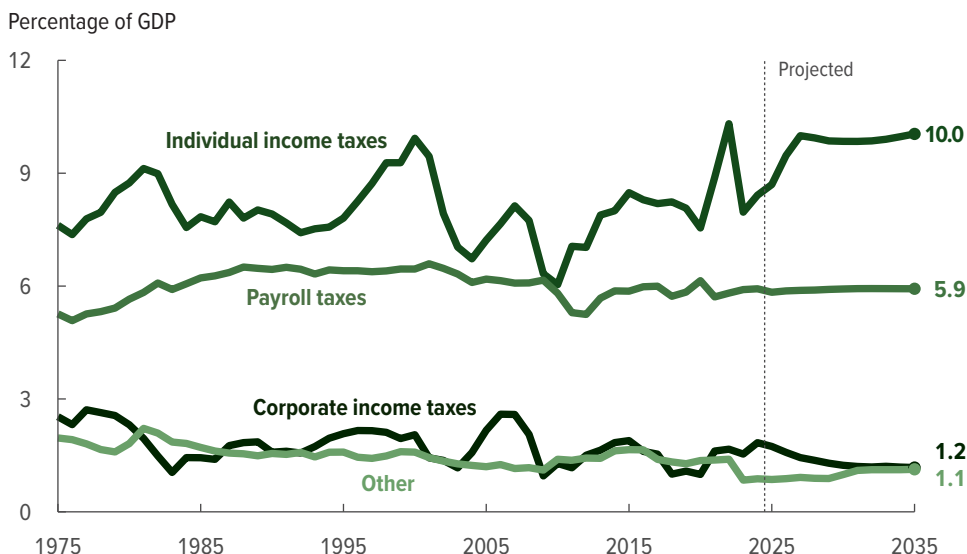
Outlays, by Category

In CBO's projections, rising spending for Social Security and Medicare boosts mandatory outlays, and discretionary spending shrinks as a share of GDP. Net outlays for interest increase as debt mounts. Interest costs exceed outlays for defense from 2025 to 2035 and exceed outlays for nondefense discretionary programs from 2027 to 2035. From 2027 on, interest costs are greater in relation to GDP than at any point since at least 1940 (the first year for which the Office of Management and Budget reports such data).



Revenues, by Category

Receipts from individual income taxes rise over the next three years, primarily because of scheduled increases in most tax rates, and then roughly stabilize as a share of GDP. After 2025, corporate income tax receipts decrease in relation to GDP, largely because of other scheduled changes in tax rules, increased claims of tax credits, and slower growth of corporate profits relative to overall growth in the economy.



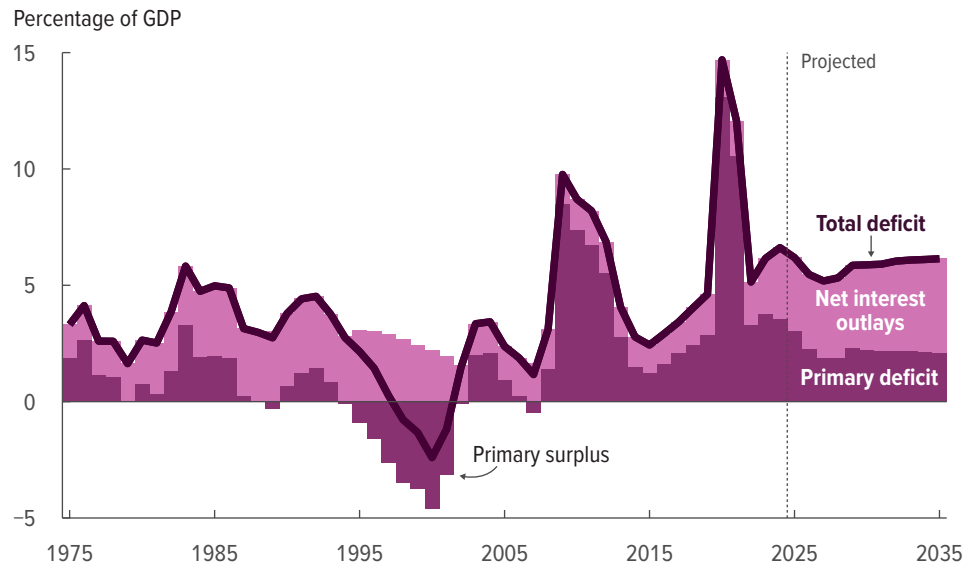
Outlook for Outlays and Revenues

Increases in spending for Social Security and Medicare and rising net interest costs push outlays to **\$10.7** trillion, or **24.4%** of GDP, in 2035.

Revenues in 2035 total **\$8.0** trillion, or **18.3%** of GDP.

Total Deficit, Net Interest Outlays, and Primary Deficit

In CBO's projections, the total deficit—the amount by which outlays exceed revenues—equals **5.4 percent of GDP in 2035**. By that year, net interest payments grow to 4.1 percent of GDP and account for about one-sixth of all federal spending. The primary deficit (which excludes those payments) equals 2.1 percent of GDP in 2035.



Changes in CBO's Projections of the 10-Year Deficit Since June 2024

Deficits from 2025 to 2034 are projected to total \$21.1 trillion, \$1.0 trillion less than CBO projected in June. Most of that decrease is due to economic changes to CBO's projections, particularly increases in projected revenues from individual income taxes. Legislative changes and technical (that is, neither economic nor legislative) changes boosted projected deficits. Those increases offset more than half of the decrease from economic changes. (For more details about changes to CBO's budget projections, see Appendix A.)

Trillions of dollars

2025–2034 deficit in CBO's June 2024 baseline

22.1

2025–2034 deficit in CBO's January 2025 baseline

21.1

Economic changes

-2.5

Legislative changes

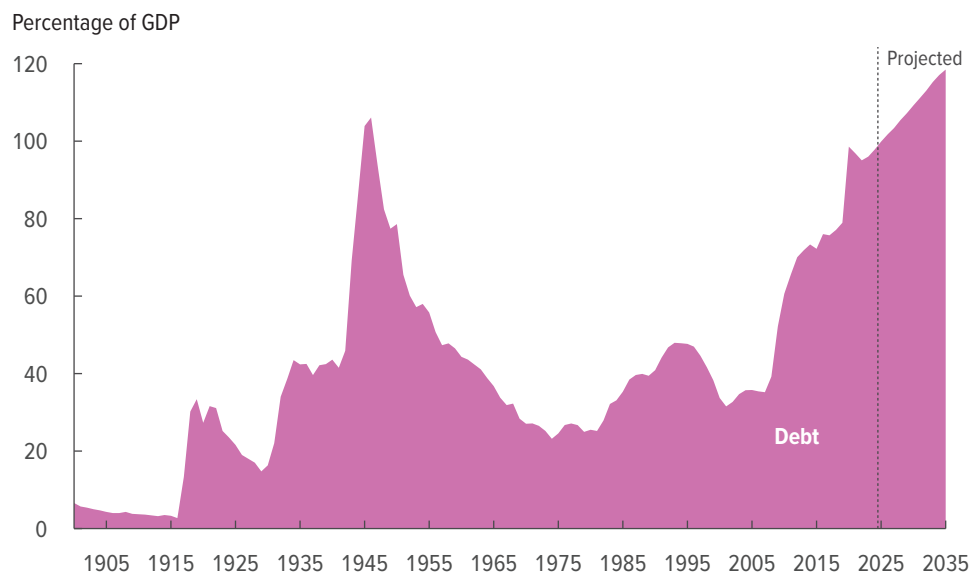
0.3

Technical changes

1.3

Federal Debt Held by the Public

Debt held by the public rises each year. From 2025 to 2035, it swells from 100 percent of GDP to **125 percent**—an amount greater than at any point in the nation's history. (For more details about CBO's budget projections, see Appendix B.)



The Economic Outlook

Economic Growth

In CBO's projections, economic growth cools from an estimated 2.3 percent in calendar year 2024 to 1.9 percent in 2025 and **2.1 percent in 2026** amid higher unemployment and lower inflation. The Federal Reserve continues reducing interest rates through the end of 2026, which supports economic growth. Real GDP then grows by 1.8 percent per year, on average, through 2035. Roughly four-fifths of the growth over that period is due to increases in the productivity of the labor force. The rest is due to increases in the size of the labor force.

Inflation

The overall growth of prices slows slightly in 2025. Inflation as measured by the price index for personal consumption expenditures (PCE) falls from an estimated **3.7 percent** in 2024 to a rate roughly in line with the Federal Reserve's long-run goal of 2 percent in 2027 and stabilizes thereafter.

Interest Rates

The Federal Reserve began reducing the federal funds rate (the rate financial institutions charge each other for overnight loans) **in March 2024**. In CBO's projections, those reductions continue through the end of 2026. Longer-term interest rates, such as the rate on 10-year Treasury notes, decline through the end of 2026 and then remain roughly flat.

Changes in CBO's Economic Projections

Since June 2024, when CBO published its previous full economic forecast, the agency's projections of the average growth rate of real GDP over the 2024–2026 period have changed little. CBO raised its forecast of the average unemployment rate for 2024 to 2026 and lowered its forecast of employment growth over that period. Inflation is expected to be slightly higher, on average, in 2025 and 2026 than the agency projected in June. The forecast of long-term interest rates for 2026 is also higher. After 2026, CBO's current and previous forecasts are generally similar.

Outlook for 2025– 2035

Over the next two years, economic growth slows, and inflation continues to decline.

After 2026, economic growth and inflation remain moderate.

The Economic Outlook, by Calendar Year

	Estimated, 2024	2025	2026	2027	Annual average	
					2028– 2029	2030– 2035
Change from fourth quarter to fourth quarter (percent)						
Real (inflation-adjusted) GDP	2.3	1.9	1.8	1.8	1.8	1.8
Inflation						
PCE price index	2.5	2.2	2.1	2.0	2.0	2.0
Consumer price index	2.7	2.3	2.4	2.3	2.2	2.2
Payroll employment (net monthly change, in thousands)	187	90	58	46	52	57
Annual average (percent)						
Unemployment rate	4.0	4.3	4.4	4.4	4.4	4.4
Interest rates						
Effective federal funds rate	5.1	4.0	3.5	3.3	3.3	3.2
3-month Treasury bills	5.0	3.8	3.3	3.2	3.2	3.1
10-year Treasury notes	4.2	4.1	3.9	3.9	3.9	3.8
Tax bases (percentage of GDP)						
Wages and salaries	42.6	42.8	43.1	43.2	43.5	43.6
Domestic corporate profits	11.4	11.1	10.7	10.3	9.6	9.5

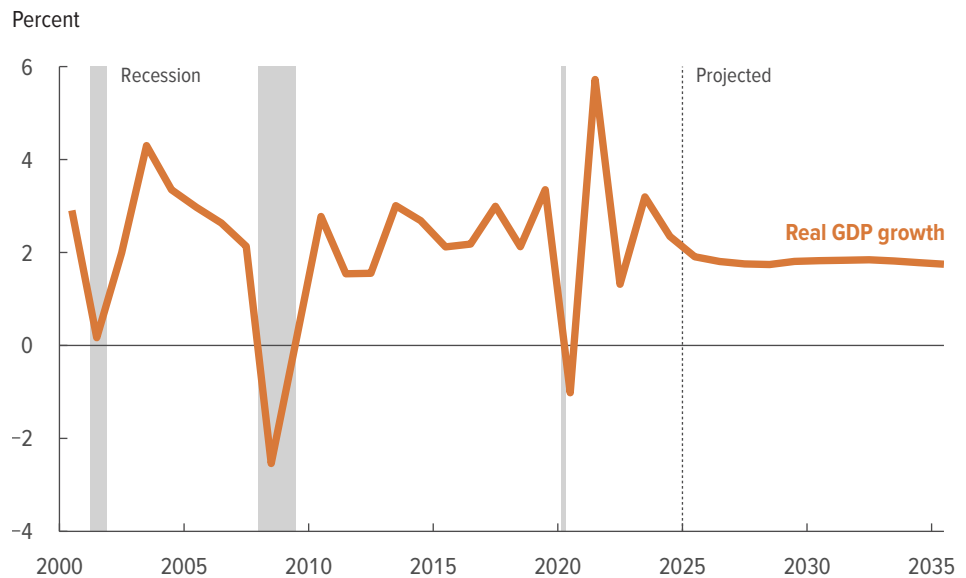
See Appendix C.



The Economic Outlook in Six Figures

Growth of Real GDP

The growth of economic output, as measured by the nation's GDP, is expected to moderate in 2025, reflecting slower growth in consumer and government spending. CBO expects that more moderate economic growth to continue in 2026 as consumer spending slows further and investment in private nonresidential structures declines.



Outlook for Economic Growth

Real GDP grows by **1.9%** in 2025 and **1.8%** in 2026.

Residential Investment

Real residential investment, which includes home construction, renovations, and brokers' commissions, grew by an estimated 2.5 percent in 2024, contributing 0.1 percentage point to real GDP growth. In CBO's projections, that contribution rises to 0.3 percentage points in 2025 and 2026 before declining. Such investment grows by an average of 6.4 percent in those years as falling interest rates, pent-up demand, recent increases in the population, and a limited supply of existing homes for sale boost demand for new homes.

